

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA,
INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**COMPLAINANT SAMSUNG ELECTRONICS
AMERICA, INC.'S REPLY TO RESPONDENT'S EXCEPTIONS
TO THE INITIAL DECISION**

Christopher R. Nolan
Allison N. Skopec
Chiara Kalogjera-Sackellares
HOLLAND & KNIGHT LLP
787 Seventh Ave., 31st Floor
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hklaw.com
allison.skopec@hklaw.com
chiara.sackellares@hklaw.com

Gerald A. Morrissey III
Kristine O. Little
HOLLAND & KNIGHT LLP
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: (202) 469-5497
gerald.morrissey@hklaw.com
kristine.little@hklaw.com

TABLE OF CONTENTS

	Page
I. INTRODUCTION	1
II. STANDARD OF REVIEW	3
III. EXCEPTIONS AND ARGUMENT	4
A. SEA’s Damages Were Proximately Caused by SM Line’s Unreasonable Practices	4
1. SEA Established Damages to Reasonable Degree of Certainty	5
2. SM Line Cannot Disavow Its Own Internal Report	8
3. SM Line Fails to Rebut the D&D Summary Report	14
4. SM Line’s Plea to Keep Ill-Begotten Pandemic Profits Defies Evidence, Equity and Congressional Intent Behind OSRA 2022	18
5. Extrapolating SEA’s Reparations Award from the D&D Summary Report Is Appropriate	20
B. SM Line’s Exceptions on Interest Ignore Clear FMC Authority Mandating Calculation Based on the Date of Injury	22
IV. CONCLUSION	26

TABLE OF AUTHORITIES

	Page(s)
Cases	
<i>Chaves Cnty. Home Health Serv., Inc. v. Sullivan</i> , 931 F.2d 914 (D.C. Cir. 1991)	20
<i>Color Brands, LLC v. AAF Logistics, Inc.</i> , Dkt. No. 22-18, 2024 WL 246193 (FMC Jan. 18, 2024).....	23
<i>Cox v. Esso Shipping Co.</i> , 247 F.2d 629 (5th Cir. 1957)	9
<i>Deutsche Bank Nat’l Tr. Co. v. Morgan Stanley Mortgage Cap. Holdings LLC</i> , 289 F. Supp. 3d 484 (S.D.N.Y. 2018).....	20
<i>Green Mtn. Glass LLC v. Saint-Gobain Containers, Inc.</i> , 300 F. Supp. 3d 610 (D. Del. 2018).....	25
<i>Howell v. Marmpegaso Compania Naviera, S.A.</i> , 578 F.2d 86 (5th Cir. 1978)	24
<i>Kolcraft Enters., Inc. v. Chicco USA, Inc.</i> , No. 09-CV-03339, 2019 WL 4242482 (N.D. Ill. Sept. 6, 2019).....	25
<i>Lummus Indus., Inc. v. D.M. & E. Corp.</i> , 862 F.2d 267 (Fed. Cir. 1988).....	24, 25
<i>Marine Transport Logistics, Inc. v. CMA CGM, S.A.</i> , Dkt. No. 22-23, 2025 WL 1828626 (FMC June 27, 2025)	3
<i>Port Auth. of N.Y. and N.J. v. N.Y. Shipping Ass’n</i> , Dkt. No. 84-6, 84-8, 22 S.R.R. 1217 (ALJ Sept. 18, 1984).....	9
<i>Protogyrou v. Farrell Lines</i> , 42 F.3d 1386 (Table), 1994 WL 673635 (4th Cir. 1994)	24
<i>Reeled Tubing, Inc. v. M/V Chad G</i> , 794 F.2d 1026 (5th Cir. 1986)	24
<i>In re RFC and ResCap Liquidating Antitrust Litig.</i> , 332 F. Supp. 3d 1102 (D. Minn. 2018).....	20
<i>Samsung Electronics America, Inc. v. ZIM Shipping Services Ltd.</i> , Dkt. No. 22-23, Dkt. 63 (ALJ May 14, 2025)	26
<i>Unapproved Section 15 Agreements — South African Trade</i> , 7 F.M.C. 159 (1962)	9

<i>United States v. Honeywell Int’l Inc.</i> , 47 F.4th 805 (D.C. Cir. 2022)	3
<i>United States v. Lahey Clinic Hosp., Inc.</i> , 399 F.3d 1 (1st Cir. 2005).....	20
<i>United States v. Life Care Centers of America, Inc.</i> , 114 F. Supp. 3d 549 (E.D. Tenn. 2014).....	20, 21
<i>USL Auto Exp. Inc. v. Easy Shipping Corp.</i> , Dkt. No. 23-13, 2025 WL 1181598 (ALJ April 16, 2025)	22
Statutes	
35 U.S.C. § 284.....	23
46 U.S.C. § 41305.....	23
46 U.S.C. § 41305(a)	22, 23
46 U.S.C. § 41305(b)	22, 23
Other Authorities	
46 C.F.R. § 502.251	22, 27
46 C.F.R. § 502.253	22
46 C.F.R. § 545.5	2
81 Fed. Reg. 93831	9
Fed. R. Evid. 804(b)(3)	9
5 WIGMORE ON EVIDENCE: EVIDENCE IN TRIALS AT COMMON LAW § 1457	10
168 Cong. Rec. H5460-02 (daily ed. June 13, 2022)	19
168 Cong. Rec. S1887-02 (daily ed. Mar. 31, 2022)	19

Complainant, Samsung Electronics America, Inc. (“SEA”), through its counsel, respectfully submits this reply to Respondent SM Line Corporation’s (“SM Line”) exceptions (“SM Line Except.”) to the Presiding Officer’s Initial Decision dated May 28, 2025 (“ID”).

I. INTRODUCTION

The sole issue in SM Line’s exceptions is whether the ID relied on sufficient evidence demonstrating that SM Line’s unreasonable practices of charging demurrage and detention (“D&D”) for chassis shortage and port congestion delays proximately caused SEA injury. SM Line *does not challenge* any aspect of the ID’s conclusive liability determinations that it violated the Shipping Act in multiple respects, yet asks the Commission to deny SEA any recovery of the millions of dollars it paid as a result of these undisputed violations.¹

SM Line fundamentally mischaracterizes both the record and the ID by claiming that: (1) the Presiding Officer based reparations on “one individual document,” (2) SM Line’s own internal D&D Summary Report is “unreliable,” and (3) SEA failed to meet its burden of proof. SM Line’s exceptions are baseless and cannot withstand scrutiny.

First, SEA presented voluminous evidence supporting its claim for reparations of \$16,961,992,² including detailed payment records, expert testimony, and corroborating documentation. The D&D Summary Report was merely one component of the substantial evidentiary record.

Second, SM Line cannot credibly disavow its own internal report. The D&D Summary Report was specifically created at management’s direction to evaluate its litigation risk, as SM Line’s corporate representative testified:

¹ SM Line also advances a one paragraph challenge to the ID’s finding on SEA’s statutory entitlement to pre-judgment interest, which SEA addresses, *infra*.

² See SEA Except. at 50 n. 11, filed June 20, 2025, for the calculation of this figure.

- “after we were sued by Samsung, at the initial stage of the litigation, our legal counsel suggested why don’t we do some stress tests. So this was a document that was created per my instruction.” CX_000309, K.K. Choi (SM Line) 143(b)(6) III Dep. Tr. 252:20-24.
- “[it was] created at the request of counsel to find out as to what the potential maximum exposure would be ... if there were any demurrage or detention related collection that occurred on account of some problems on the part of SM Line.” CX_000317, K.K. Choi (SM Line) 143(b)(6) III Dep. Tr. 260:18-23.

Such statements against interest, in a report created for litigation risk assessment, carry inherent reliability. The Presiding Officer properly relied on this internal report to support the award of reparations, which SM Line failed to rebut.

Third, the liability findings (to which SM Line lodged not a single exception), establish that SM Line:

- Conducted unreasonable practices on a normal, customary, and continuous basis. ID at 48.
- Used D&D as a means to increase and maximize income, which is “directly at odds with the incentive principle.” ID at 52.
- Failed to evaluate the potential responsibility of SEA before issuing invoices. ID at 53.
- Automatically charged SEA for demurrage and detention on all store door moves regardless of which party was at fault, which was an unreasonable practice. ID at 52-53.
- Collected D&D “as a means to increase income, unrelated to its costs.” ID at 52 (citing the liability expert report of SEA’s expert, John McCown).
- “Thus, the record as a whole supports a finding that SM Line’s demurrage and detention policy did not incentivize the movement of cargo but rather was a tool to maximize profits, did not comply with the incentive principle set forth in 46 C.F.R. § 545.5, and constituted an unreasonable practice to the extent it assessed charges regardless of which party was at fault.” ID at 52.

These uncontroverted liability findings not only support affirming the modest reparation award but justify increasing it to the \$16,961,992 amount sought by SEA. The amount issued in the ID represents merely 13% of SEA’s documented losses.

SM Line’s exceptions also contradict the central purpose of the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) —to protect the shipping public from unreasonable carrier practices. The Commission should deny SM Line’s exceptions to prevent SM Line from unjustly retaining its ill-begotten gains collected through practices that violated the Shipping Act—precisely the outcome Congress sought to prevent.

II. STANDARD OF REVIEW

SEA generally agrees with SM Line that the applicable standard of review in considering this ID is *de novo* (SM Line Except. at 2), and is also mindful of the FMC’s recent discussion of the *de novo* and abuse of discretion standards of review in *Marine Transport Logistics, Inc. v. CMA CGM, S.A.*, Dkt. No. 22-23, 2025 WL 1828626 (FMC June 27, 2025). While the standard of review applicable for certain findings of fact on reparations in *Marine Transport Logistics, Inc.* may be relevant to review of the Presiding Officer’s findings that the SM Line D&D Summary Report is admissible and probative evidence for use in connection with calculating the reparations challenged by SM Line, that standard does not generally apply to the parties’ pending exceptions from the ID that raise legal questions regarding the applicable legal standard and methodology, and for establishing proximate cause for injury caused by unlawful Shipping Act practices, which remain subject to a *de novo* standard of review. *See United States v. Honeywell Int’l Inc.*, 47 F.4th 805, 812 (D.C. Cir. 2022) (applying *de novo* review to the legal question regarding the correct rule for allocating settlement credits for damages under the False Claims Act); *see also Marine Transport Logistics*, 2025 WL 1828626 at *7-8 (adopting by reference federal appellate precedent on damages review standards). Regardless, SM Line’s reparations exceptions fail under either standard of review.

III. EXCEPTIONS AND ARGUMENT

A. SEA's Damages Were Proximately Caused by SM Line's Unreasonable Practices

SM Line exclusively attacks a portion of the evidence supporting the Presiding Officer's finding that the unreasonable practice of charging D&D for chassis shortages and port congestion ("Secondary Violations") proximately caused SEA damages for which it is entitled to reparations. SM Line Except. at 3-6. SM Line does not challenge the Presiding Officer's findings that the Secondary Violations were unlawful practices, nor does SM Line challenge the Presiding Officer's findings that charging SEA D&D automatically on store door moves regardless of SEA's fault, in order to maximize profits, not incentivize the movement of cargo ("Primary Violations"), were unlawful practices. ID at 53. The undisputed Primary Violations alone are sufficient to satisfy the proximate cause requirement **for all challenged D&D charges that SEA paid, as well as for the other damages incurred.** The ID erred by requiring a container-by-container analysis when SM Line's Primary Violations were systematic and SEA was automatically charged for all D&D on store door moves, regardless of fault, in order to maximize profits.

SM Line's exceptions thus essentially concede liability for the Primary and Secondary Violations and focus exclusively on the reliability of its own D&D Summary Report to challenge the proximate cause finding for the Secondary Violations. However, as SEA argued in its Exceptions, "finding a second unreasonable practice violation for each charge is not required to establish that SM Line's charges from the unreasonable practice of charging all D&D without first evaluating fault proximately caused SEA's losses." SEA Except. at 22.

The Commission should reject SM Line's exceptions and correct the ID's error by recognizing that proximate cause is established not only for the Secondary Violations, but also for all D&D charges automatically imposed on SEA, and which SEA paid, without first evaluating

fault or establishing with evidence that SM Line had a legitimate reason for charging SEA. A container-by-container analysis would be redundant and unnecessary where, as here, the Primary Violations are a systematic policy applied to all D&D charges on store door shipments.

1. SEA Established Damages to Reasonable Degree of Certainty

SM Line complains that the ID “fell short” when the Presiding Officer relied on SM Line’s D&D Summary Report claiming that it “is not the type of ‘reliable evidence’ that the Commission requires.” SM Line Except. at 2-3. SM Line’s attempt to distance itself from its own internal D&D Summary Report is not only legally unsupported but also contradicted by the substantial evidentiary record, SM Line’s own admissions regarding its practices, the ID’s factual findings, and the uncontroverted nature of the report’s conclusions—all of which demonstrate that the report constitutes reliable evidence upon which the Presiding Officer properly relied. Indeed, the D&D Summary Report provides further support for awarding SEA reparations for all charges paid and damages incurred under SM Line’s Primary Violations and which SM Line failed to establish as being supported by evidence of SEA’s fault.

First, SM Line rests its argument on the incorrect premise that “the document in question [the D&D Summary Report] was and to this day is the only evidence that SEA was able to point at in support of their claim.” SM Line Except. at 1. Contrary to this misrepresentation of the evidentiary record, SEA presented the Presiding Officer with substantial evidence, including a highly detailed recitation of its claims and actual direct damages, including bill of lading numbers, container numbers, dates, amounts paid, locations and charge types. The ID relied, in part, on the D&D Summary Report to show proximate cause and award reparations for a small fraction of the total damages that SEA proved and to which SEA was entitled to recover reparations.

Second, the Presiding Officer’s reasonable reliance on the D&D Summary Report is supported by the ID’s conclusive findings of fact concerning SM Line’s unreasonable practice of

automatically charging D&D to maximize profit. Specifically, the ID's findings that SM Line automatically charged SEA on all store door moves, did not consider the Incentive Principle when issuing invoices, and instead invoiced D&D to maximize profit regardless of SEA fault (ID at 52-53), combined with the proof that SEA paid every invoice at issue in this proceeding (CX_004466, Smith Damages Expert Report ¶37), are sufficient to establish proximate cause and should have been the basis for a full award of reparations. The D&D Summary Report further confirms that SM Line acted in conformity with its practice of charging regardless of underlying fault, which SM Line failed to rebut below or in the instant exceptions.

Third, the ID properly relied on the D&D Summary Report because it was uncontroverted. The ID found that "[t]he SM Line D&D Summary Report contains information on a number of the shipments at issue, including relevant dates, detention/demurrage charges, the reasons for the charges," ID FF ¶175, a finding of fact that SM Line did not file exceptions to. SM Line's report failed to find *any evidence* to support why it charged SEA D&D in 38% of the cases it reviewed. ID FF ¶176. For the 62% of the cases where SM Line found "evidence" for the charges, ID FF ¶176, 29% of the charges found evidence why SM Line ***should not*** have charged SEA D&D (*i.e.*, chassis shortages and port congestion), *see e.g.*, ID FF ¶178; SEA Except. at 35. For the remaining 33%, the evidence SM Line found was comprised of approximately 32% indicating evidence of reasons *not* within SEA's responsibility on store door moves, and only approximately 1% for reasons arguably within SEA's responsibility. *See e.g.*, ID FF ¶179 ("Warehouse Issue," and "Samsung Operation Issue"); SEA Except. at 35 ("Warehouse Issue," "Diversion," and "Samsung Operation Issue").

The D&D Summary Report was entirely consistent with the Presiding Officer's conclusion that SM Line did not have a valid reason in the first instance to charge SEA D&D other than its

unreasonable practice of charging SEA “automatically” on store-door moves, which the ID found was an unreasonable practice in violation of the Shipping Act. ID at 53. For those limited categories that SM Line attributed responsibility to SEA, SEA conceded these amounts and even extrapolated them to the entire universe of charges in dispute. SEA Except. at 35, 50 n. 11.

Fourth, the ID properly relied on the specific categories of the D&D Summary Report for the Secondary Violations of charging for “port congestion” and “chassis storage.”

Port Congestion: the ID held that “[t]he record shows that SM Line waived or discounted demurrage and detention charges caused by port congestion. (F of F 128, 182) SM Line’s actions in this regard support a finding that port congestion is a circumstance beyond the control of the shipper for which the assessment of demurrage and detention is inappropriate.” ID at 55. SM Line’s corporate representative testified about the top three instances where SM Line inactivates charges, as well as SM Line’s admissions in response to SEA’s proposed findings of fact. ID FF ¶128. Similarly, SM Line’s import customer service manager’s testimony stating that it was SM Line’s policy to waive demurrage for port congestion, ID FF ¶182, despite not applying it when automatically charging SEA.

Chassis Storage: the ID concluded that “[t]he record also shows that SM Line was responsible for providing chassis to SEA in store door moves and also provided chassis in CY moves.” ID at 55.³ Thus the ID’s conclusions about SM Line’s practices for “port congestion” and “chassis storage,” provide the context and background for the reasonable reliance on the D&D Summary Report to award reparation for these unreasonable charges.

In sum, SM Line’s attempt to undermine the reliability of its own D&D Summary Report fails because: (1) SEA presented substantial additional evidence of damages beyond the report; (2) the report merely confirmed SM Line’s established unreasonable practice of automatically charging D&D to maximize profit regardless of fault; (3) SM Line presented no evidence to contradict the Report’s findings that 38% of charges lacked any evidence of a legitimate basis to charge SEA; (4) SM Line presented no evidence showing how the findings on approximately 32%

³ This finding cites to ID FF ¶77, though SEA presumes this was meant to be a cite to ID FF ¶76; regardless, both findings of fact cite to SM Line’s own admissions in response to SEA’s proposed findings of fact.

of the charges with some evidence legitimately established any basis to charge SEA; and (5) SM Line's attempt to rebut a portion of the port congestion charges in its exceptions not only fails, but shows that the report's port congestion classifications align with SM Line's own admissions regarding its practices for port congestion (and chassis shortage) charges. All of this provides more than sufficient evidence for the Commission to uphold the ID's damages award and, indeed, to expand it to the full amount of SEA's proven damages under the Primary and Secondary Violations.

2. SM Line Cannot Disavow Its Own Internal Report

SM Line's protest that its own D&D Summary Report is "so clearly incomplete and unreliable that it cannot satisfy the heightened standard of 'reasonable certainty'" rings hollow and is contradicted by the record evidence and basic evidentiary principles of administrative law. SM Line Except. at 1-2.⁴

The ID soundly rejected SM Line's exact argument about the reliability of the D&D Summary Report, as follows:

The undersigned finds that the D&D Summary Report constitutes prima facie evidence that SEA was not at fault for these charges, which shifts the burden to SM Line to produce evidence to rebut this presumption. By failing to do so, *it cannot reasonably challenge its internal analysis of the charges at issue on the ground that it was only preliminary.*

ID at 55 (emphasis added). SM Line failed to rebut the report below and its *post hoc* arguments and attempts to discredit it fail to rebut it here.

As an initial matter, the Presiding Officer's ability to consider the D&D Summary Report

⁴ As SM Line so keenly points out, the standard of proof on reparations before the FMC is a "reasonable certainty" standard. SM Line Except. at 2, 5. However, SM Line mischaracterizes this standard as a "heightened" one. *Id.* at 2. This is not a "heightened" standard of proof, but the standard routinely applied to all Shipping Act violations where reparations are sought, which "does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained." ID at 59 (citations omitted).

is not limited by the Federal Rules of Evidence (“FRE”). *See* Rules of Practice and Procedure on Presentation of Evidence in Commission Proceedings, Dkt. No. 16-08, 81 Fed. Reg. 93831 (FMC Dec. 22, 2016) (“[w]hile the presiding officer may consider the FRE for guidance, they are neither controlling nor binding.”). The FRE have always been subservient to the liberal APA standard which dictates that “all evidence which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, shall be admissible.” *Id.* The fact that SM Line’s representatives who directed and created the D&D Summary Report were available to testify —and did testify⁵— in depositions, removes the ordinary concerns about hearsay statements. *Port Auth. of N.Y. and N.J. v. N.Y. Shipping Ass’n*, Dkt. No. 84-6, 84-8, 22 S.R.R. 1217, 1219 (ALJ Sept. 18, 1984) (“the harm does not lie in admitting what may be unreliable evidence initially but in basing a decision on such evidence, i.e., in failing to sift out such evidence from reliable evidence when reaching a decision”); *see also* FED. R. EVID. 804(b)(3) (statement against interest as an exception to hearsay where the “declarant is considered to be unavailable as a witness”).

SM Line’s reliance on *Cox v. Esso Shipping Co.*, 247 F.2d 629, 633-34 (5th Cir. 1957) is misplaced. The *Cox* decision holds that a *jury* should be able to consider an admission against interest when weighing evidence in a case. The Commission’s precedent has consistently held, “administrative agencies, unlike the lay juries for whom the exclusionary rules were meant, are presumed competent to judge the weight that should be given evidence.” *Unapproved Section 15 Agreements — South African Trade*, 7 F.M.C. 159, 167 (1962).

⁵ CX_005602, K.K. Choi Decl. ¶5 (“I instructed one employee (Yeonhui Yi) to review our internal data and create a spreadsheet to perform a summary report of every charge that SM Line received from SEA or its agents, treating all such charges as refundable claims or transactions”); *see* Complainant’s Appendix at CX_000029, CX_000203, CX_000261, CX_000354 (depositions of K.K. Choi), CX_001819 (deposition of YeonHui Yi).

SM Line mischaracterizes the ID's treatment of the D&D Summary Report as "dispositive." SM Line Except. at 3. But the ID considered the report as persuasive; not conclusive or dispositive. The Presiding Officer weighed the evidence and concluded that it was probative and reliable. ID at 55. The ID's finding that the D&D Summary Report constitutes an admission against interest supports the report's reliability given the facts and circumstances surrounding its preparation. As has long been recognized, "statements asserting a fact distinctly against one's interest is unlikely to be deliberately false or heedlessly incorrect, and is thus sufficiently sanctioned." 5 WIGMORE ON EVIDENCE: EVIDENCE IN TRIALS AT COMMON LAW § 1457.

SM Line also bizarrely claims that the D&D Summary Report "was not meant to be... accurate." SM Line Except. at 4. Nothing in the record supports the assertions that the work undertaken independently by SM Line's own employees in anticipation of litigation was not meant to be accurate. The record makes clear that SM Line created the D&D Summary Report at the suggestion of counsel, under the direction of the head of SM Line's U.S. business operations, K.K. Choi, and was intended to be an internal risk analysis of SEA's claims against SM Line. CX_000309, CX_000317, K.K. Choi (SM Line) 143(b)(6) III Dep. Tr. 252:20-24 ("after we were sued by Samsung, at the initial stage of the litigation, our legal counsel suggested why don't we do some stress tests. So this was a document that was created per my instruction"); *id.* at 260:18-25 ("created at the request of counsel to find out as to what the potential maximum exposure would be through this stress test, and, as we were going forward with the litigation, if there were any demurrage or detention related collection that occurred on account of some problems on the part of SM Line, if that was an issue that was raised by Samsung for these containers").

SM Line also submitted three sworn declarations in this proceeding concerning the D&D Summary Report, by SM Line's Head of Operations in the U.S., K.K. Choi, who directed the

preparation of the report; by SM Line’s Head of Legal and Claims Team, based in South Korea; and by SM Line’s lead external counsel, all of whom had personal knowledge of the report. CX_005607-CX_005608, Wook Chung, Decl., Dkt. 63 (Jan. 31, 2024); CX_005601-CX_005603, K.K. Choi Decl., Dkt. 64 (Jan. 31, 2024); CX_005604-CX_005606, Woo Cheol Shin Decl., Dkt. 65 (Jan. 31, 2024). None of SM Line’s declarations claim that the report was not meant to be accurate. On the contrary, the declarations consistently state that the purpose was to conduct an “internal risk analysis of SEA’s monetary claims seeking refunds for demurrage and detention charges paid by SEA” and to do so, K.K. Choi instructed an SM Line employee to “review our internal data and create a spreadsheet to perform a summary report of every charge that SM Line received from SEA or its agents, treating all such charges as refundable claims or transactions.” CX_005602, Decl. K.K. Choi ¶¶4-5. SM Line’s assertion that the D&D Summary Report “was not meant to be... accurate” is a fiction concocted by counsel that is contradicted by the record.

The evidence in the record about the report’s preparation also corroborates its reliability. SM Line prepared the D&D Summary Report based on actual emails and data sourced from SM Line’s own records. CX_000310-CX_000311, CX_000314-CX_000315, K.K. Choi (SM Line) 143(b)(6) III Dep. Tr. 253:1-9 (“it was created only based on the emails that were available”); *id.* at 254:12-16 (“that information is from the demurrage and detention module from ALPS . . . the information derived from the trucking module on ALPS”); *id.* at 257:24-258:8 (“Those emails are emails that are separately stored by the employees working out of the Phoenix office relating to this Samsung litigation”). And SM Line represents that all of the evidence used to prepare the report was produced to SEA in this proceeding. SM Line Except. at 4 (citing to CX_00315), 8-9 (“the documentation supporting the spreadsheet and necessary to verify its accuracy has been made available to SEA during discovery”). Accepting SM Line’s representation as true for the purposes

of its argument, SM Line’s D&D Summary Report should be reliable precisely because it was created using SM Line’s evidence produced in this litigation. If that underlying evidence failed to support or contradicted the findings in the report, SM Line could or should have used such evidence to rebut the report, which it has not done.

SM Line’s treatment of the D&D Summary Report in the proceeding also corroborates its relevance and reliability. SM Line claimed that the D&D Summary Report was inadvertently produced, claimed that it should be shielded from disclosure, and fought to claw it back instead of writing it off as irrelevant. *See* Respondent’s Response to Complainant’s Motion for Determination of Claim of Privilege and Waiver of Same Concerning a Single Document Produced, Dkt. 66 (Jan. 31, 2024); CX_005607-CX_005608, Wook Chung, Decl., Dkt. 63 (Jan. 31, 2024); CX_005601-CX_005603, K.K. Choi Decl., Dkt. 64 (Jan. 31, 2024); CX_005604-CX_005606, Woo Cheol Shin Decl., Dkt. 65 (Jan. 31, 2024). Ultimately, the ALJ ordered the document produced, granting SEA’s Motion for Determination of Privilege and Waiver. Memorandum Order Regarding Discovery Motions, Dkt. 70 (ALJ Feb. 5, 2024).

SM Line overstates the testimony of K.K. Choi that “he wasn’t able to confirm the accuracy of the information contained in exhibits CX_004714 [the D&D Summary Report].” SM Line Except. at 4 (citing CX_00310). SM Line’s Corporate Representative K.K. Choi testified that he lacked sufficient knowledge to confirm all of the detailed findings in the report at the time of his testimony, but he confirmed that the findings in the report were based on contemporaneous email evidence in SM Line’s records. CX_000310, K.K. Choi (SM Line) 143(b)(6) III Dep. Tr. 253:10-16 (“whether this is accurate or not is something that I cannot really confirm as I sit here. However, it is just a – when you talk about these evidences, that would suggest to the effect that there are some emails in that regard or not, just some evidence would be just based upon whether there are

emails existing or not”); CX_000315-316, Tr. 258:19-259-18 (testifying that entries in the “remarks”, “evidence details” and “category” columns “relates to the email communication from truckers” and that he had instructed the SM Line employee preparing the report to “match the information on the emails” to container charges listed in the report).

SM Line’s contention that the report was created “in a hurry, under the pressure of litigation” (SM Line Except. at 8) is refuted by the fact that SM Line continued to work on the D&D Summary Report and also **prepared and produced a second version** of the report with expanded analysis and additional work. *Compare*, CX_004714, K.K. Choi (SM Line) 143(b)(6) III Dep. Ex. 7 with CX_004715, K.K. Choi (SM Line) 143(b)(6) III Dep. Ex. 8.

The Complaint was served on April 19, 2023. Dkt. 1, 2. The metadata properties of the native Microsoft Excel files show that both versions were derived from an Excel file with the same “created” date of April 27, 2023. *See Id.* (native Excel file properties).⁶ The file properties of the initial D&D Summary report also show a “last modified” date of May 30, 2023, CX_004714, K.K. Choi (SM Line) 143(b)(6) III Dep. Ex. 7 (file properties), which is further confirmed by the evidence that the report was shared with Woo Cheol Shin at the instruction of K.K. Choi on or about May 31, 2023, more than a month later. CX_005605, Woo Cheol Shin Decl. ¶7. The file properties of the second version shows a “last modified” date of June 30, 2023, thus in total more than two months later. CX_004715, K.K. Choi (SM Line) 143(b)(6) III Dep. Ex. 8 (file properties); *see also* CX_000333, K.K. Choi (SM Line) 143(b)(6) III Dep. Tr. 276:12-20 (“This was also

⁶ *See also* CX_005604-CX_005606, Woo Cheol Shin Decl., ¶6 (although SM Line’s Head of Legal and Claims stated “[t]o the best of my knowledge, the Summary Spreadsheet analysis was completed on or about April 27, 2023,” the properties of the files, and the timeline of the direction to undertake the review—after the Complaint was served on April 19, after engaging external counsel, and after a call with external counsel, K.K. Choi and Woo Cheol Shin (a period of 6 business days)—all indicate that April 27, 2023 reflects the initial “creation” date of the Excel file, not the “completion” date of the resulting report that was undertaken).

prepared by Yeonhui Yi, the same deputy senior manager,” and testifying that it appeared to be a later prepared or updated version of the initial D&D Summary Report, and also testifying on the expanded content of the later version).

Despite expanding and continuing to work on the report during a period of at least one additional month after the first version was circulated, SM Line did not second-guess, recalculate, or reconsider its conclusions on the relevant evidence and findings contained in the D&D Summary Report; *e.g.*, despite reflecting expanded work, both versions contain the same evidence and findings for the specific evidence categories indicating SM Line and SEA responsibility. *Compare, e.g.*, CX_004714, K.K. Choi (SM Line) 143(b)(6) III Dep. Ex. 7 (115 charges for Port Congestion and Chassis Shortage; 24 charges for Warehouse Issue, Diversion, and Samsung Operation Issue) *with* CX_004715, K.K. Choi (SM Line) 143(b)(6) III Dep. Ex. 8 (115 charges for Port Congestion and Chassis Shortage combined, 24 charges for Warehouse Issue, Diversion, and Samsung Operation Issue).

3. SM Line Fails to Rebut the D&D Summary Report

SM Line’s conclusory assertion that “the amounts collected should be deemed lawful unless proved otherwise” misstates the standard applicable. The ID found *prima facie* evidence of the Secondary Violations, which SM Line failed to rebut. ID at 55. SM Line’s last-ditch attempt at a rebuttal here, based solely on its vague assertions that an unknown amount of charges not claimed by SEA were waived for unsubstantiated reasons, and three emails from an incomplete email chain relating to port congestion problems in Tacoma, Washington in 2021 and 2022, are insufficient to rebut the weight of the probative and persuasive evidence presented against it.

The three emails cited (SM Line Except. at 6-7) do not support SM Line’s contention that the listed containers are examples of improper classification as “port congestion,” and in all events if SM Line needed or had “additional corroboration” to rebut findings in the report SM Line should

have provided it. Regarding alleged waiver of charges, SM Line offers more *post hoc* and conclusory argument of counsel asserting that the D&D Summary Report “strongly indicates that SM Line did not invoice all the demurrage charges because of the ‘congestion’ status.” SM Line Exempt. at 6. However, the emails and containers that SM Line cites provide no evidentiary support that charges were actually waived, or if so, why, and do not rebut the ID’s finding that SM Line unreasonably charged SEA for port congestion and chassis shortages.⁷

SM Line also mischaracterizes the emails: they are not “pickup notices” as SM Line alleges, but periodic notifications of the last free day on the containers listed therein. The emails are between SM Line and SM Line’s trucker Spirit Transportation; SEA is notably not a sender, recipient, nor even cc’d on the emails. In an email at RX_000554, dated February 23, 2022, SM Line’s trucker responds to SM Line that “[t]here are talk[s] actively going on to get a gate to pull these and others.” RX_000554. This was SM Line’s trucker notifying SM Line that it had not picked up the containers because of issues getting a gate at the terminal. As discussed below, the evidence in the record shows that both port congestion and chassis shortages were reasons why truckers could not pick up SEA containers at the terminals in this time frame.

SM Line’s self-selected list of containers is not even consistent on alleged waiver: two of the containers show that SM Line billed SEA *more* than the amount purported as “billable.” *See* CX_0004714, K.K. Choi (SM Line) 143(b)(6) III Dep. Ex. 7 (the entries in the D&D Summary

⁷ SEA also objects to SM Line’s characterization of the “billable amount” column as a proper baseline for assessing amounts SM Line did and did not waive. SM Line Exempt. at 6. SM Line has not substantiated what the total allegedly “billable” amount column represents or how it was calculated, or that there was actual “waiver” of charges, let alone the reason for any alleged waiver. Further, the cited evidence provides no support whatsoever that amounts allegedly “billable” were waived or not billed for the reasons asserted by SM Line counsel: namely that any alleged waiver was “done so in recognition of congestion” or “in recognition of the congestion related conditions by extending free time or waiving demurrage charges in recognition of accessibility issue.” *Id.* at 6-7.

Report for containers SMCU1025663 and SMCU1288377, listing \$7,165 as “billable” but “USD Invoiced AMT” as \$7,255, and \$5,155 stated as “billable” but \$5,245 invoiced, respectively). This overbilling is consistent with SM Line’s admitted internal policy to “maximize[] the collection of demurrage and detention in order to maximize profits.” ID at 52. SM Line’s arguments about alleged waivers is also limited exclusively to port congestion: SM Line does not make any attempt to rebut with evidence the ID’s finding that it was equally unreasonable to charge D&D for chassis shortages.

Other evidence in the record that SM Line fails to cite further corroborates the major port and terminal congestion problems for many months at Tacoma in the late 2021 to 2022 time period. *See CX_000506*, K.K. Choi (SM Line) Dep. Tr. 152:16-153:25 (discussing an email chain exhibit dated from Oct. 11, 2021 to Nov. 2, 2021, between SM Line and Spirit Transportation relating to the inability to pick up containers involving Tacoma terminals T30 and T5). In the subject email, the trucker advised SM Line of a bullet point list of problems retrieving containers from the terminal. *See CX_000506*, K.K. Choi (SM Line) Dep. Tr. 153:5-16 (agreeing that the list of bullet points was indicating various other problems that the trucker was having retrieving containers from the terminal). The bulleted list of problems, including “there are no chassis at terminal,” all pertained to issues retrieving containers from the terminal, not delivering the containers to SEA. Indeed, Mr. Choi described the specific problems identified by the trucker as “problems relating to the overall port in the Seattle, Tacoma area,” *CX_000506*, K.K. Choi (SM Line) Dep. Tr. 153:16-19, not problems caused by SEA’s fault or responsibility.

SM Line’s contemporaneous internal communication that followed in the email chain, from SM Line’s then Operations and Equipment Specialist, Andrea Askins, to SM Line’s Tariff and Equipment Director, Christopher Solarez, reported that at that time there was “\$335,995 in

demurrage” on the SEA containers stuck on the terminal. *See* CX_000507, K.K. Choi (SM Line) Dep. Tr. 154:3-19. The three “last free day notices” cited by SM Line (SM Line Except. at 6-7) all involve the same terminals and congestion issues that Mr. Choi testified about in connection with the late 2021 email chain. And those are the same terminals and congestion issues categorized as “port congestion” in the D&D Summary Report, which identified “evidence” relating to terminals T30 and T5, for containers from October 2021 to April 2022. *See* D&D Summary Report (date columns “Q”, “R”, “S” and “T”); *see also* CX_000322-CX_000323, K.K. Choi (SM Line) 143(b)(6) III Dep. Tr. 265:12-266:16 (SM Line’s corporate representative testifying that specific SM Line entries in the report indicating “port congestion” and “T30 port congestion, move to T5,” in columns “BH” and “BK” respectively, indicated that “the trucker emails suggested that they couldn't pick up the containers because the port's congestion”).

Neither the testimony about the congestion evidence nor the related contemporaneous emails provide any evidence that SEA was at fault or had responsibility for the congestion charges. They provide no evidence that SM Line waived demurrage charges for the congestion. And they provide no evidence that SM Line had any other legitimate reason for charging SEA at the time, other than SM Line’s unreasonable practice of charging **all** D&D on SEA because SM Line used a customer-nominated trucker. The Tacoma email chains that SM Line cites only further confirm that SM Line’s “port congestion” categorization in the D&D Summary Report was based on its own evidence indicating charges due to port congestion, as well as the findings in the ID of SM Line’s overall unreasonable practice of charging in the first instance without any fault determination.

In sum, the Commission should not give any weight to SM Line’s attempts to rebut selected findings in the D&D Summary Report and should uphold the ID’s finding that SM Line’s practice

of charging SEA D&D on store door moves for port congestion and chassis shortages was unreasonable, and that SEA's payment of such charges was the proximate cause of SEA's injury for which it is entitled to reparations.

4. SM Line's Plea to Keep Ill-Begotten Pandemic Profits Defies Evidence, Equity and Congressional Intent Behind OSRA 2022

SM Line does not dispute the ID's conclusive findings that it violated the Shipping Act, yet remarkably asks the Commission to "remove the entirety of the amount granted to SEA in reparation." SM Line Except. at 9. This brazen request to retain ill-begotten profits generated through unreasonable practices—profits that the ID specifically found were obtained by D&D used "as a tool to maximize profits" rather than "incentivize the movement of cargo" (ID at 52)—directly contradicts both the evidence and the express intent of Congress in enacting OSRA 2022.

SEA's Liability Expert, John McCown, a respected shipping industry veteran, documented SM Line's excessive pandemic-era profits, including:

- "SML's actual financial results from 2020 to 2022 compared with overall industry results for that same time period indicate an exponential growth in net income and margins that were the direct result of unreasonably aggressive pricing practices, including D&D billing practices." McCown Expert Report ¶49.
- "SML significantly outperformed the overall industry from 2020 to 2022. This is even more compelling because SML is the twenty-ninth largest container carrier in the world measured by total TEU capacity of its fleet." McCown Expert Report ¶51.
- "SML's overall D&D collections in 2022 were more than 3.9 times what they were in 2019, which was the last year unaffected by the pandemic." McCown ¶54.
- "SML's 2022 ratio of [D&D collections as a percentage of revenue at] 4.22% was 2.6 times the industry ratio of 1.62%. Overall, SML was engaging in D&D billing practices that aggressively charged consignees of cargo in a manner that was more notable compared to the overall industry, and such practices contributed to its financial overperformance relative to the industry." McCown ¶¶55-56.

These unreasonable practices that generated windfall profits during the pandemic were not unique to SM Line, nor unfamiliar to the Commission. To the contrary, they are the very reason that Congress enacted OSRA 2022, granting the Commission even greater power to combat anti-competitive behaviors of foreign ocean carriers like SM Line. The legislation was specifically designed to address ocean carriers “taking advantage of American exporters and importers” during the pandemic. 168 Cong. Rec. H5460-02 (daily ed. June 13, 2022) (statement of Rep. Peter DeFazio). As one legislator noted, the container shipping industry reported “record \$190 billion in profits in 2021, a sevenfold increase from the previous year... They are fleecing consumers and exporters because they know they can get away with it.” 168 Cong. Rec. S1887-02 (daily ed. Mar. 31, 2022) (statement of Sen. Amy Klobuchar). By passing OSRA 2022, Congress deliberately strengthened the Commission’s authority to combat these “unreasonable practices” and ensure that “if you are a foreign-flagged ocean carrier, and you are using U.S. ports, you need to submit yourself to some basic rules of the road.” 168 Cong. Rec. H5460-02 (daily ed. June 13, 2022) (statement of Rep. Dusty Johnson).

Allowing SM Line to retain profits from practices that the ID found violated the Shipping Act would directly contravene this congressional mandate and undermine the Commission’s enforcement authority. The ID’s findings and McCown’s expert testimony confirm that SM Line’s D&D charges were imposed to maximize SM Line’s revenue in clear violation of the Incentive Principle—precisely the conduct that OSRA 2022 was designed to remedy. The Commission now has the opportunity to fulfill this legislative mandate by denying SM Line’s exceptions and awarding SEA the full amount of its reparations.

5. Extrapolating SEA's Reparations Award from the D&D Summary Report Is Appropriate

Instead of “remov[ing] the entirety of the amount granted to SEA in reparation” (SM Line Except. at 9), as urged by SM Line in its concluding remarks, SEA respectfully submits an appropriate measure of damages that would have involved the Presiding Officer applying the sample set of charges that SM Line analyzed in the D&D Summary Report to the entire \$14,534,787 of charges paid and claimed by SEA. Extrapolation and sampling techniques are common in cases of this caliber, and application of these techniques here is a reasonable and conservative estimate of SEA's reparations entitlement.

Courts routinely permit statistical sampling where review of every individual unlawful instance would be impractical, particularly in complex litigation spanning thousands of transactions. *Chaves Cnty. Home Health Serv., Inc. v. Sullivan*, 931 F.2d 914, 919 (D.C. Cir. 1991); *Deutsche Bank Nat'l Tr. Co. v. Morgan Stanley Mortgage Cap. Holdings LLC*, 289 F. Supp. 3d 484, 496-97 (S.D.N.Y. 2018) (“Courts applying New York law have repeatedly approved the use of statistical sampling a means of proving liability and damages in RMBS cases”); *In re RFC and ResCap Liquidating Antitrust Litig.*, 332 F. Supp. 3d 1102, 1146 (D. Minn. 2018) (“As a general matter, statistical sampling is a commonly used and accepted means of assembling and analyzing data, particularly in complex litigation”); *United States v. Lahey Clinic Hosp., Inc.*, 399 F.3d 1, 18 n. 19 (1st Cir. 2005) (“sampling of similar claims and extrapolation from the sample is a recognized method of proof”). This approach is particularly appropriate here, where SEA has already established SM Line's liability for the unreasonable practice of automatically charging D&D regardless of fault, which is the reason SM Line charged SEA in the first place, without first having an otherwise legitimate basis to charge SEA.

While extrapolation has not been commonly applied in FMC cases, this reflects the

historically smaller-scale of pre-pandemic disputes involving a smaller volume of individual shipments. As noted in *United States v. Life Care Centers of America, Inc.*, extrapolation is an appropriate method for proving liability where the nature and scope of the evidence makes it impractical to review each individual claim. 114 F. Supp. 3d 549, 572 (E.D. Tenn. 2014). The *Life Care Center* court explained the policy implications behind rejecting the defendant's position, which is that the court should not permit statistical sampling in these types of claims, and instead require a claim-by-claim review:

If the Court were to reach the conclusion urged by the Defendant—that a claim-by-claim review is required in every FCA action and that statistical sampling is never permissible—potential perpetrators of fraud would be emboldened by the fact that a claim-by-claim review is often impractical. Armed with the knowledge that the government could not possibly pursue each individual false claim, large-scale perpetrators of fraud would reap the benefits of such a system. Put another way, limiting FCA enforcement to an individual claim-by-claim review would open the door to more fraudulent activity because the deterrent effect of the threat of prosecution would be circumscribed. The Court is unable to conclude that such a result is consistent with the purpose and history of the FCA.

Id. at 571. Applied to the Shipping Act here, this policy-based logic holds true.

Rejecting extrapolation would create perverse incentives similar to those identified in *Life Care*: **“limiting [enforcement] to an individual claim-by-claim review would open the door to more [violations] because the deterrent effect of the threat of prosecution would be circumscribed.”** *Id.* at 571 (emphasis added). Such a result would undermine the purpose of both the Shipping Act and OSRA 2022.

SM Line's position is particularly untenable given that it created the very sample it now challenges. The D&D Summary Report likely represents a conservative estimate of SEA's damages, as Yi had every incentive to identify instances of SEA's responsibility to limit SM Line's liability. And SM Line has had multiple opportunities to rebut its own analysis with competing evidence but failed to do so—a telling assessment of the report's reliability. Under these

circumstances, the Commission should apply extrapolation to provide full reparations for SM Line's unreasonable practices, not only as to the Secondary Violations, but also as to the Primary Violations of using D&D to maximize revenue and automatically charging SEA D&D without first evaluating fault or having a legitimate basis to charge SEA.

In all events, while extrapolation of SM Line's own sample is reasonable, for the charges that SM Line either failed to find evidence of a legitimate reason to have charged SEA D&D in the D&D Summary Report, and as to the charges that SM Line did not include in the report at all, the facts of this case show that SM Line has not established with evidence that it had any other, legitimate, reason to charge SEA at the time. Therefore, SM Line has not rebutted SEA's *prima facie* case that SM Line's practice of automatically charging SEA on store door moves was unlawful, nor has SM Line overcome the evidence that SEA's payment of those charges (in the absence of SM Line showing that it actually had another legitimate reason to charge SEA) was the proximate cause of SEA's injury.

B. SM Line's Exceptions on Interest Ignore Clear FMC Authority Mandating Calculation Based on the Date of Injury

SM Line cannot limit pre-judgment interest to the date the Complaint was served (April 19, 2023), instead of the date of injury. SM Line Except. at 7-8. The Shipping Act requires payment of reparations for actual injury caused by Shipping Act violations. *See* 46 U.S.C. § 41305(b). And the Shipping Act expressly provides that loss of interest is a required component of reparations awards "at commercial rates compounded *from the date of injury*." *Id.* at § 41305(a) (emphasis added).

Similarly, Commission regulations expressly provide that "interest granted on awards of reparation in complaint proceedings instituted under the Shipping Act of 1984 *will accrue from the date of injury* to the date specified in the Commission order awarding reparation." 46 C.F.R.

§ 502.253 (emphasis added); *see also, e.g., USL Auto Exp. Inc. v. Easy Shipping Corp.*, Dkt. No. 23-13, 2025 WL 1181598, at *25 (ALJ April 16, 2025) (explaining that prejudgment interest shall accrue from the date of injury to the date specified in the Commission order awarding reparation); *Color Brands, LLC, v. AAF Logistics, Inc.*, Dkt. No. 22-18, 2024 WL 246193, at *1, *3 (FMC Jan. 18, 2024) (pursuant to 46 U.S.C. § 41305(b) awards of reparations caused by violations are mandatory and pursuant to 46 U.S.C. § 41305(a) reparations awards include “loss of interest at commercial rates compounded from the date of injury”).⁸

SM Line cites no Shipping Act authority contradicting the foregoing. On this ground alone the Commission should reject SM Line’s argument that prejudgment interest should be calculated from the date of the Complaint instead of the date of injury, and uphold the ID’s finding that SEA is entitled to pre-judgment interest from the date of injury.

SM Line’s entire argument is based on inapposite reliance on cases, on other federal statutes, and on general maritime law that are not applicable to the Shipping Act determination here. SM Line argues that “particular circumstances” such as “undue delay in prosecuting a lawsuit” should preclude an award of pre-judgment interest in this proceeding. SM Line Except. at 7 (citing *Gen. Motors Corp. v. Devex Corp.*, 461 U.S. 648, 657 (1983)). But *General Motors* is a patent infringement case interpreting an award of prejudgment interest under 35 U.S.C. § 284. 35 U.S.C. § 284 is plainly not 46 U.S.C. § 41305, which applies here. In addition, the Court explains in *General Motors* that 35 U.S.C. § 284 does not mandate an award of pre-judgment interest and for that reason “[t]here may be other circumstances in which it may be appropriate not

⁸ In *Color Brands*, the Commission affirmed the Initial Decision finding violations on default judgment, but remanded the calculation of reparations to the ALJ pursuant to 46 C.F.R. § 502.251, noting that the calculation is from the date of injury, and further, that “it would not appear to be unreasonable to determine that the mid-point date of the period of all eligible shipments was the date of injury for the claim.”

to award prejudgment interest.” *Id.* at 656-657. Thus, neither the statute at issue nor the reasoning on prejudgment interest in *General Motors* are remotely relevant to the determination of Shipping Act pre-judgment interest here.

SM Line’s citations to determinations of pre-judgment interest under general maritime law are similarly inapposite. SM Line cites to *Protogyrou v. Farrell Lines*, 42 F.3d 1386 (Table), 1994 WL 673635 (4th Cir. 1994), mis-citing to an unpublished decision merely standing for the proposition that awarding pre-judgment interest under general maritime law in admiralty cases is not mandatory, and therefore that “a court may deny such an award if ‘peculiar circumstances’ would make it inequitable.” *Id.* SM Line’s citations other general maritime law cases, *Reeled Tubing, Inc. v. M/V Chad G*, 794 F.2d 1026, 1028 (5th Cir. 1986) and *Howell v. Marmpegaso Compania Naviera, S.A.*, 578 F.2d 86 (5th Cir. 1978) are inapposite for the same reasons as *Protogyrou*, and certainly do not support SM Line’s further assertion that SEA’s entitlement to reparations interest should be calculated “at the earliest the date [SM Line] received the complaint.” SM Line Except. at 8.⁹

Finally, even if there was legal support for SM Line’s argument that pre-judgment interest should be limited “where thousands of shipments and charges are at issue” because this “could encourage a Complainant to delay the filing of an action as much as possible for the only reason of maximizing its potential interest recovery,” SM Line Except. at 7-8, SM Line fails to proffer any evidence in the record that SEA improperly delayed prosecuting the action that would warrant reducing pre-judgment interest under other federal laws or general maritime law. *See, e.g.*,

⁹ Even if general maritime law equitable considerations did apply to Shipping Act pre-judgment interest determinations, which it does not, in *Reeled Tubing*, the Fifth Circuit concluded that the trial court abused its discretion under general maritime law by denying pre-judgment interest from the date of plaintiff’s loss. 794 F.2d at 1028.

Lummus Indus., Inc. v. D.M. & E. Corp., 862 F.2d 267, 275 (Fed. Cir. 1988) (“the withholding of prejudgment interest based on delay is the exception, not the rule.”). SM Line offers no evidence, for example, that SEA unreasonably delayed suit to “bolster [their] litigation position or pad its bottom line.” *Kolcraft Enters., Inc. v. Chicco USA, Inc.*, No. 09-CV-03339, 2019 WL 4242482, at *19 (N.D. Ill. Sept. 6, 2019) (citing *Lummus*, 862 F.2d at 275); *see also Green Mtn. Glass LLC v. Saint-Gobain Containers, Inc.*, 300 F. Supp. 3d 610, 627 (D. Del. 2018), *aff’d sub nom. Green Mtn. Glass, LLC v. Saint-Gobain Containers, Inc.*, 773 F. App’x 619 (Fed. Cir. 2019) (awarding prejudgment interest where “Defendant has neither proven Plaintiffs unduly delayed in filing suit or that they have been prejudiced”). Not only does SM Line fail to proffer such evidence, before commencing this action SEA sent SM Line a demand letter on September 23, 2022 and attempted in good faith to resolve this dispute before filing the Complaint, which attempt was not successful. Even if any of SM Line’s authority applied here, which it does not, attempting to resolve this matter before filing the Complaint is not undue delay and would not warrant calculating the date of injury for Shipping Act pre-judgement interest purposes as the date the Complaint was served.

In light of the foregoing, the Commission should reject SM Line’s argument that prejudgment interest should be calculated from the date of the Complaint instead of the date of injury and uphold the ID’s finding that SEA is entitled to pre-judgement interest from the date of injury.

IV. CONCLUSION

A troubling pattern is unfolding before the Commission. After years of concerted effort by the Commission to reign in abusive ocean carriers D&D practice—including the December 2018 Fact Finding 28 Final Report, the May 2020 Interpretive Rule on D&D, the May 2022 Fact Finding 29 Final Report, the June 2022 enactment of OSRA 2022, the February 2024 D&D Billing Rule, and numerous policy statements and adjudications— certain ocean carriers are *still* benefiting handsomely from abusive D&D practices. SM Line does not even contest its systemic, unreasonable D&D practices established in the ID, but instead, SM Line is trying to get away with it before the Commission by arguing that it should suffer no remunerative consequences whatsoever. This is the second instance concerning SEA where the Commission faces exceptions submitted by a major ocean carrier demanding to retain every penny of the ill-begotten gains amassed through D&D collection on charges that should never have been issued in the first place, despite Initial Decisions conclusively finding unreasonable and unlawful D&D practices that facilitated the collections. *See Samsung Electronics America, Inc. v. ZIM Shipping Services Ltd.*, Dkt. No. 22-23, Dkt. 63 (ALJ May 14, 2025) (Respondent’s Exceptions to the Initial Decision).

The notion of ocean carriers keeping the spoils of their unreasonable D&D practices strikes at the heart of all the Commission has done on D&D and the reason that Congress granted the Commission greater power and authority to combat these practices in OSRA 2022. Yet, despite the warnings by Congress and the admonitions of the Presiding Officer, SM Line now comes before the Commission with a record of D&D violations by arguing that SM Line should not be held responsible for reparations repayment to SEA based on convoluted arguments that, in effect, charges resulting from at least four different unreasonable D&D practices are not “proximate” enough for reparations mandated by the Shipping Act. SM Line not only wants to keep the D&D

charges SEA was forced to pay, but it wants to keep the benefit of unlawfully having SEA's money for four years, depriving SEA of their rightful use. It is perverse for the beneficiary of unreasonable and unlawful conduct to complain that SEA, as the injured party, should be denied not only any reparations for its damages, but to also complain that even if SM Line is required to give anything back, that SM Line should then get to keep some of the interest too. SM Line's position is unlawful and unconscionable.

SEA respectfully requests that the Commission enter an order rejecting SM Line's exceptions in their entirety, together with such other and further relief as the Commission deems proper. If, however, the Commission determines that the evidence in the record is insufficient to award SEA reparations, either as to the reparations on the charges awarded in the ID or the full reparations for the charges and damages SEA seeks, the Commission should utilize Rule 251 to provide SEA the opportunity to address the proof of reparations on the thousands of shipments and charges at issue in this proceeding. This is the very purpose of this critical Commission tool in a case such as this in order to ensure proper recovery after liability under the Shipping Act has been established.

Dated: July 14, 2025

Respectfully submitted,

HOLLAND & KNIGHT LLP

By: /s/ Christopher R. Nolan

Christopher R. Nolan
Allison N. Skopec
Chiara Kalogjera-Sackellares
HOLLAND & KNIGHT LLP
787 Seventh Ave., 31st Floor
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hklaw.com
allison.skopec@hklaw.com
chiara.sackellares@hklaw.com

Gerald A. Morrissey III
Kristine O. Little
HOLLAND & KNIGHT LLP
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: (202) 469-5497
gerald.morrissey@hklaw.com
kristine.little@hklaw.com

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th Day of July 2025, the foregoing document was served
via electronic mail on:

Respondent SM Line Corporation
C/O Montgomery McCracken Walker & Rhoads LLP
427 Madison Avenue, 24th Floor
New York, New York 10022

Wook Chung
wchung@mmwr.com

Vincent M. DeOrchis
vdeorchis@mmwr.com

Kaspar Kielland
kkielland@mmwr.com

Matteo Bonuzzi
mbonuzzi@mmwar.com

Layal Ramirez
lramirez@mmwr.com

/s/ Ashleigh T. Higgs